

AI and PM



Finding: Half of organizations have no plans to use AI in performance management

Half of organizations report they will not use AI in performance management at all over the next two years, while another 26% are only exploring or piloting the technology. Just 17% are using AI in a limited capacity, and a mere 8% are using it broadly across the organization, meaning only one in four organizations have moved past the experimentation stage.

This is a notable contrast to the previous finding, where many expect performance management to become more AI-enabled in the next two years. Together, these results suggest that while there's directional interest in AI, actual adoption is still in the early stages. Organizations may be waiting for clearer use cases, proven ROI, or greater confidence in the technology before committing further.

The Talent Strategy Group's 2026 [Performance Management Report](#) found that AI adoption in performance management remains nascent and largely experimental across every process area measured, from goal setting to compensation decisions.



Editor's Note: In the original data, 8% of respondents stated that they "don't know." We removed those responses and recalculated, so this only shows percentages for those who answered the question substantively.



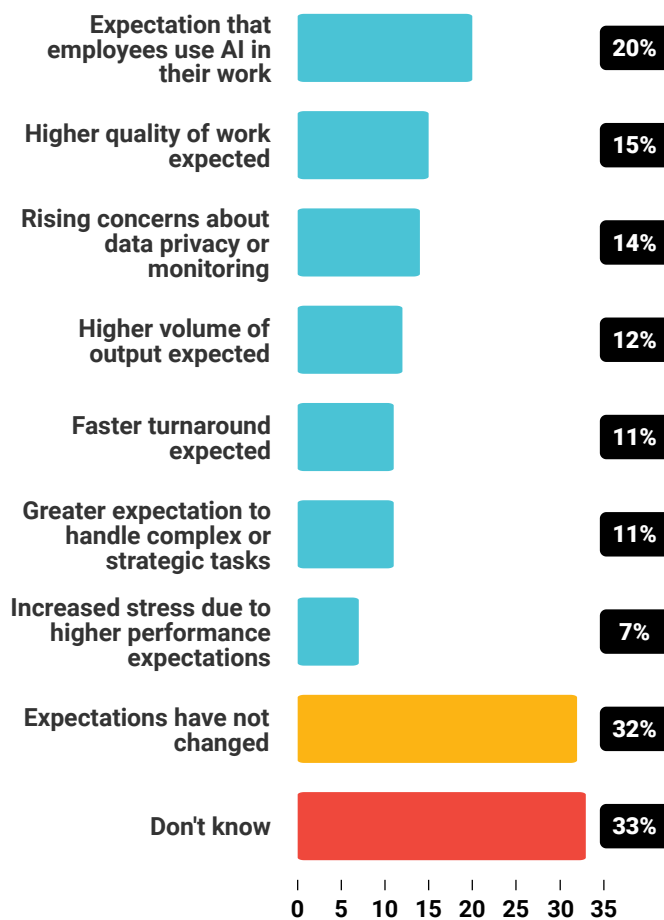
Just 8% use AI in PM broadly across the organization



Finding: For most organizations, AI has yet to reshape performance expectations, but early signals point to rising demands

For a third of organizations (32%), performance expectations haven't changed due to AI, and another third (33%) simply don't know if or how they have, suggesting many organizations haven't yet connected AI adoption to how they evaluate performance. Where change is being felt, it centers on expecting employees to actually use AI in their work (20%), followed by expectations for higher quality (15%), rising concerns about data privacy or monitoring (14%), higher volume of output expected (12%), and faster turnaround (11%).

How has AI changed performance expectations in your organization? (select all that apply)



A fifth say there's an expectation that employees use AI in their work



Finding: Trust and integration issues are the biggest barriers to using AI in performance management

Concerns about accuracy or reliability (34%) and data privacy or ethical concerns (32%) top the list of challenges organizations face with AI in performance management, suggesting that trust in the technology is the primary hurdle. Lack of integration with HR systems and insufficient training, both at 25% follow closely, pointing to practical, fixable gaps in infrastructure and preparedness. Notably, 24% report no significant challenges, showing a meaningful subset of organizations have navigated adoption smoothly.

Employee distrust or resistance (23%) outpaces manager distrust or resistance (18%), suggesting skepticism runs deeper among those being evaluated than those doing the evaluating. Leadership buy-in, cost, and measuring impact rank as comparatively smaller barriers, well behind concerns about trust and reliability.

What challenges has your organization encountered in using AI for performance management and/or performance leadership? (select all that apply)



About one-quarter of employees distrust/are resistant to using AI for PM



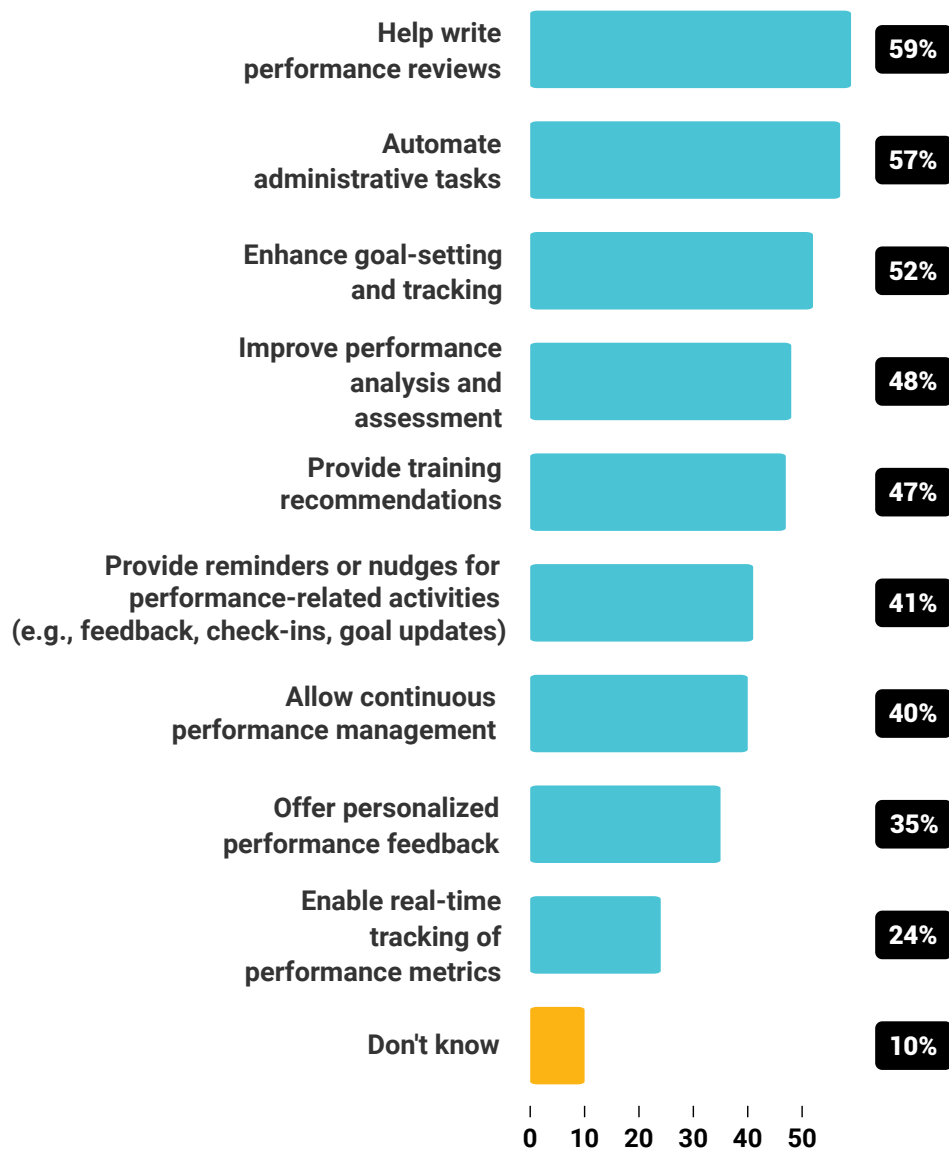
Finding: Most say their organization will use AI to help write performance reviews

Uncertainty around AI use has dropped sharply, with just 10% now saying they don't know how AI will be used, down from about a third last year. Adoption has also broadened considerably across specific purposes: 59% plan to use AI to help write performance reviews in the next two years—up by 21 percentage points since last year.

While personalized feedback is lower down on the list, it saw the largest relative jump, rising to 35% from just 16% last year. This suggests that we may see an even greater increase in adoption over the next two years.

[Gartner research](#) found managers using AI in performance management saved an average of four hours across process steps, provided the organization paired it with clear guardrails and manager accountability. Efficiency gains seem to follow organizations that treat AI as a support to managerial judgment rather than a replacement for it.

For what purposes will your organization use artificial intelligence (AI) in performance management over the next two years? (select all that apply)



Nearly half plan to use AI to provide training recommendations



Finding: PM leaders are twice as likely to use AI to enable real-time tracking in the near future

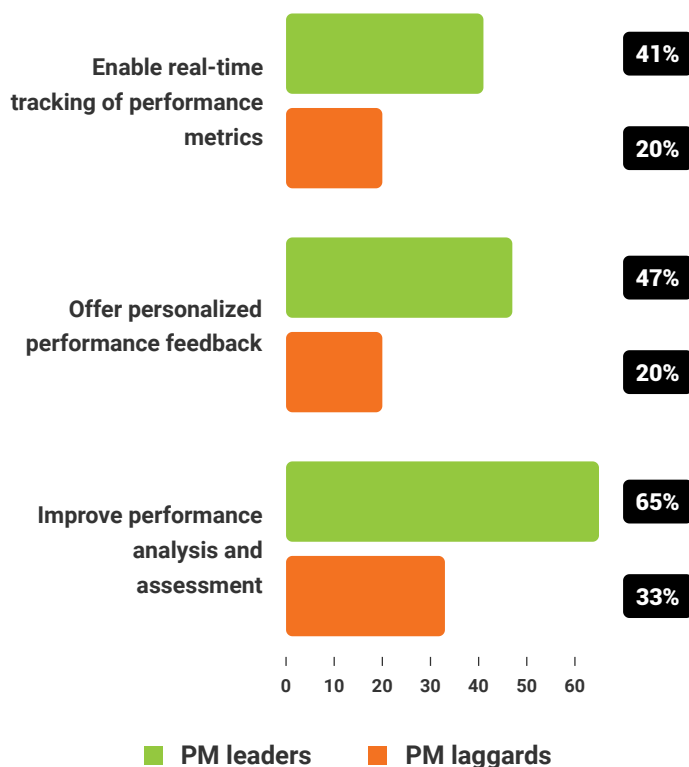
Results of Chi-square Test

A chi-square test of independence shows that PM leaders are significantly more likely than PM laggards to use AI for PM in all listed ways over the next two years.

PM leader organizations are twice as likely as laggards to plan on using AI to enable real-time tracking (41% vs. 20%) and are a little over two times as likely to offer personalized performance feedback (47% vs. 20%) over the next two years. They're also nearly twice as likely to use AI to improve performance analysis and assessment (65% vs. 33%).

We can infer that leader organizations are approaching AI as a tool for deeper, more individualized support, further reinforcing the more development-focused, employee-centered approach that distinguishes them from laggards.

For what purposes will your organization use artificial intelligence (AI) in performance management over the next two years? (select all that apply)



Just 20% of PM laggards plan to use AI to offer personalized performance feedback

HRRI Strategic Recommendations

Based on our research, please consider the following suggestions:

1. Build organizational understanding and strategy around AI use in PM.

Half of organizations still don't plan to use AI in performance management at all, and another 26% are only exploring or piloting it. Develop a clear, deliberate plan for how AI supports, rather than replaces, human judgment before adoption pressure outpaces strategy.

2. Pair AI adoption with clear guardrails and accountability to address distrust.

Accuracy and reliability concerns (34%) and data privacy or ethical concerns (32%) remain the top barriers to AI adoption in PM, ahead of integration and training gaps. This is compounded by a trust gap: Nearly a quarter of respondents believe employees distrust AI, and 18% believe managers feel the same way. Left unaddressed, this distrust will slow adoption and undermine the accuracy and fairness people expect from AI-assisted reviews.

3. Stay current as AI use in PM accelerates.

Uncertainty about how AI will be used has dropped sharply, from about a third of organizations last year to just 10% now, while use across writing reviews (59%), goal tracking (52%), and personalized feedback (35%, nearly doubled) has risen quickly. Given how fast this is moving, keep monitoring developments both inside and outside the PM function so your strategy doesn't fall behind actual practice.